



Municipal Bonds

What are municipal bonds?

Municipal bonds (or “munis” for short) are debt securities issued by states, cities, counties and other governmental entities to fund day-to-day obligations and to finance capital projects such as building schools, highways or sewer systems. By purchasing municipal bonds, you are in effect lending money to the bond issuer in exchange for a promise of regular interest payments, usually semi-annually, and the return of the original investment, or “principal.” A municipal bond’s maturity date (the date when the issuer of the bond repays the principal) may be years in the future. Short-term bonds mature in one to three years, while long-term bonds won’t mature for more than a decade.

Generally, the interest on municipal bonds is exempt from federal income tax. The interest may also be exempt from state and local taxes if you reside in the state where the bond is issued. Bond investors typically seek a steady stream of income payments and, compared to stock investors, may be more risk-averse and more focused on preserving, rather than increasing, wealth. Given the tax benefits, the interest rate for tax-exempt municipal bonds is usually lower than on taxable fixed-income securities such as corporate bonds with similar maturities, credit qualities and other items.

The two most common types of municipal bonds are the following:

- **General obligation bonds** are issued by states, cities or counties and not secured by any assets. Instead, general obligation are backed by the “full faith and credit” of the issuer, which has the power to tax residents to pay bondholders.
- **Revenue bonds** are not backed by government’s taxing power but by revenues from a specific project or source, such as highway tolls or lease fees. Some revenue bonds are “non-recourse”, meaning that if the revenue stream dries up, the bondholders do not have a claim on the underlying revenue source.

In addition, municipal borrowers sometimes issue bonds on behalf of private entities such as non-profit colleges or hospitals. These “conduit” borrowers typically agree to repay the issuer, who pays the interest and principal on the bonds. In cases where the conduit borrower fails to make a payment, the issuer usually is not required to pay the bondholders.

Where can investors find information about municipal bonds?

The Municipal Securities Rulemaking Board’s Electronic Municipal Market Access (EMMA®) website (<https://emma.msrb.org/Home/GettingStarted>) provides free public access to municipal securities documents and data. Get access to:

Information about Specific Municipal Securities

- Official statements (<https://emma.msrb.org/MarketActivity/RecentOfficialStatements>) (the prospectus for a municipal bond)
- Financial disclosure documents from the issuer of the bond (<https://emma.msrb.org/MarketActivity/RecentCD>)
- Other ongoing disclosure documents about events affecting the bond (<https://emma.msrb.org/EmmaHelp/UnderstandingContinuingDisclosure>)
- Credit ratings information for rated bonds (<https://emma.msrb.org/EmmaHelp/UnderstandingCreditRatings>)
- Trade prices, yields and other data about a bond’s trading history (<https://emma.msrb.org/TradeData/PriceDiscovery>)
- Information about 529 savings plans and ABLE programs (<https://emma.msrb.org/Search/Plan529.aspx>)

Market-Wide Information

- Yield curves and indices from third-party providers (<https://emma.msrb.org/ToolsAndResources/MarketIndicators>)
- Calendar of municipal securities scheduled to be offered (<https://emma.msrb.org/ToolsAndResources/NewIssueCalendar>)
- Calendar of upcoming economic reports and events that may have an impact on the municipal bond market (<https://emma.msrb.org/ToolsAndResources/NewIssueCalendar>)
- Market statistics about overall trading patterns and most active securities (<https://emma.msrb.org/MarketActivity/ViewStatistics.aspx>)
- Political contribution disclosures (<https://emma.msrb.org/EmmaHelp/UnderstandingPoliticalContributions>)

Note that many issuers maintain websites or webpages specifically for investors in their municipal bonds. Some issuers hyperlink to those webpages from their homepage on EMMA. Learn how to find issuer homepages on EMMA (<https://emma.msrb.org/EmmaHelp/BrowsingMunicipalSecuritiesByIssuers>) .

The SEC designated EMMA as the official repository for municipal securities disclosures in 2009. The SEC oversees the MSRB. The MSRB (<http://msrb.org/>) is a self-regulatory organization whose mission is to protect investors, state and local governments and other municipal entities, and the public interest by promoting a fair and efficient municipal securities market. Neither the SEC nor the MSRB review the disclosure documents prior to their posting on EMMA.

Learn more about how to use EMMA by visiting EMMA Help (<https://emma.msrb.org/EmmaHelp/EmmaHelp.aspx>) . Also, the MSRB welcomes questions about how to locate municipal bond disclosures, including older ones that pre-date EMMA's launch in 2009. Use their Contact Form (<https://emma.msrb.org/AboutEMMA/ContactUs.aspx>) . For EMMA updates, sign up for EMMA updates via MSRB communications (<http://msrb.org/News-and-Events/Email-Subscriptions.aspx>) and follow the MSRB on Twitter (@MSRBNews (https://twitter.com/MSRB_News)) and LinkedIn.

What are some of the risks of investing in municipal bonds?

As with any investment, investing in municipal bonds entails risk. Investors in municipal bonds face a number of risks, specifically including:

Call risk. Call risk refers to the potential for an issuer to repay a bond before its maturity date, something that an issuer may do if interest rates decline -- much as a homeowner might refinance a mortgage loan to benefit from lower interest rates. Bond calls are less likely when interest rates are stable or moving higher. Many municipal bonds are "callable," so investors who want to hold a municipal bond to maturity should research the bond's call provisions before making a purchase.

Credit risk. This is the risk that the bond issuer may experience financial problems that make it difficult or impossible to pay interest and principal in full (the failure to pay interest or principal is referred to as "default"). Credit ratings are available for many bonds. Credit ratings seek to estimate the relative credit risk of a bond as compared with other bonds, although a high rating does not reflect a prediction that the bond has no chance of defaulting.

Interest rate risk. Bonds have a fixed face value, known as the “par” value. If bonds are held to maturity, the investor will receive the face value amount back, plus interest that may be set at a fixed or floating rate. The bond’s market price will move up as interest rates move down and it will decline as interest rates rise, so that the market value of the bond may be more or less than the par value. U.S. interest rates have been low for some time. If they move higher, investors who hold a low fixed-rate municipal bond and try to sell it before it matures could lose money because of the lower market value of the bond.

Inflation risk. Inflation is a general upward movement in prices. Inflation reduces purchasing power, which is a risk for investors receiving a fixed rate of interest. It also can lead to higher interest rates and, in turn, lower market value for existing bonds.

Liquidity risk. This refers to the risk that investors won’t find an active market for the municipal bond, potentially preventing them from buying or selling when they want and obtaining a certain price for the bond. Many investors buy municipal bonds to hold them rather than to trade them, so the market for a particular bond may not be especially liquid and quoted prices for the same bond may differ.

In addition to the risks, what other factors should you consider when investing in municipal bonds?

Tax implications. Consider consulting a tax professional to discuss the bond's tax implications, including the possibility that your bond may be subject to the federal alternative minimum tax or eligible for state income tax benefits.

Broker compensation. Most brokers are compensated through a markup over the cost of the bond to the firm. This markup might be disclosed on your confirmation statement. If a commission is charged, it will be reported on your confirmation statement. You should ask your broker about markups and commissions.

The background of the broker or adviser selling the bond. A securities salesperson must be properly licensed, and, depending on the type of business the firm conducts, his or her firm must be registered with the MSRB and with FINRA, the SEC or a state securities regulator. You can check out an investment adviser on the SEC's Investment Adviser Public Disclosure website at www.adviserinfo.sec.gov (<http://www.adviserinfo.sec.gov/>) and a broker on FINRA's BrokerCheck website at www.finra.org/brokercheck (<http://www.finra.org/brokercheck>) . To confirm MSRB registration, you can review

the MSRB's registered dealers list at <http://www.msrb.org/Regulated-Entities/Registration-Status.aspx> (<http://www.msrb.org/Regulated-Entities/Registration-Status.aspx>) .

Related Information

Investor Bulletin: Municipal Bonds (March 2012) (<https://www.investor.gov/news-alerts/investor-bulletins/municipal-bonds>)

Investor Bulletin: Focus on Municipal Bonds (September 2010) (<https://www.investor.gov/news-alerts/investor-bulletins/focus-municipal-bonds>)

Investor Bulletin: New Rules for Improving Municipal Disclosure (<https://www.investor.gov/news-alerts/investor-bulletins/new-rules-improving-municipal-disclosure>)

Using EMMA - Researching Municipal Securities and 529 Plans and ABLE Programs (<https://www.investor.gov/researching-managing-investments/researching-investments/using-emma-researching-municipal-securities>)

SEC's Office of Municipal Securities (<http://www.sec.gov/municipal>)

Spotlight on Municipal Securities Markets (<http://sec.gov/spotlight/municipalsecurities.shtml>)

EMMA Help on the MSRB's EMMA (<https://emma.msrb.org/EmmaHelp/Index>)

The MSRB's Education Center (<http://msrb.org/EducationCenter.aspx>)

The MSRB's Glossary of Municipal Securities Terms (<http://msrb.org/glossary.aspx>)

What is Mark-Up? (<http://msrb.org/EducationCenter/Investors/Buying.aspx>)